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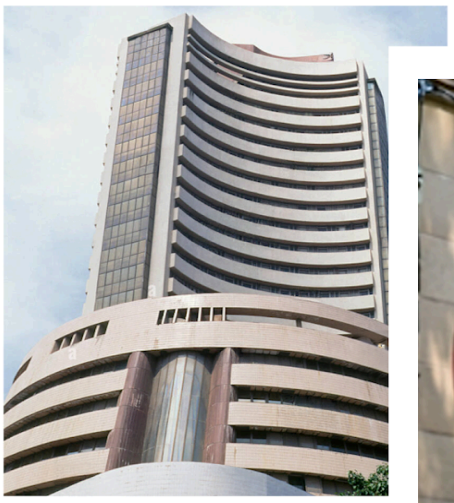
General Knowledge

Indian Economy

STUDY NOTES

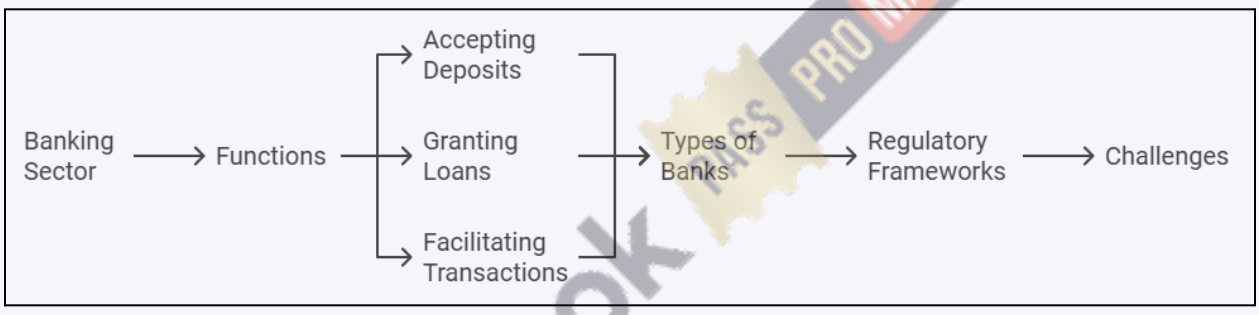
Banking Sector in India



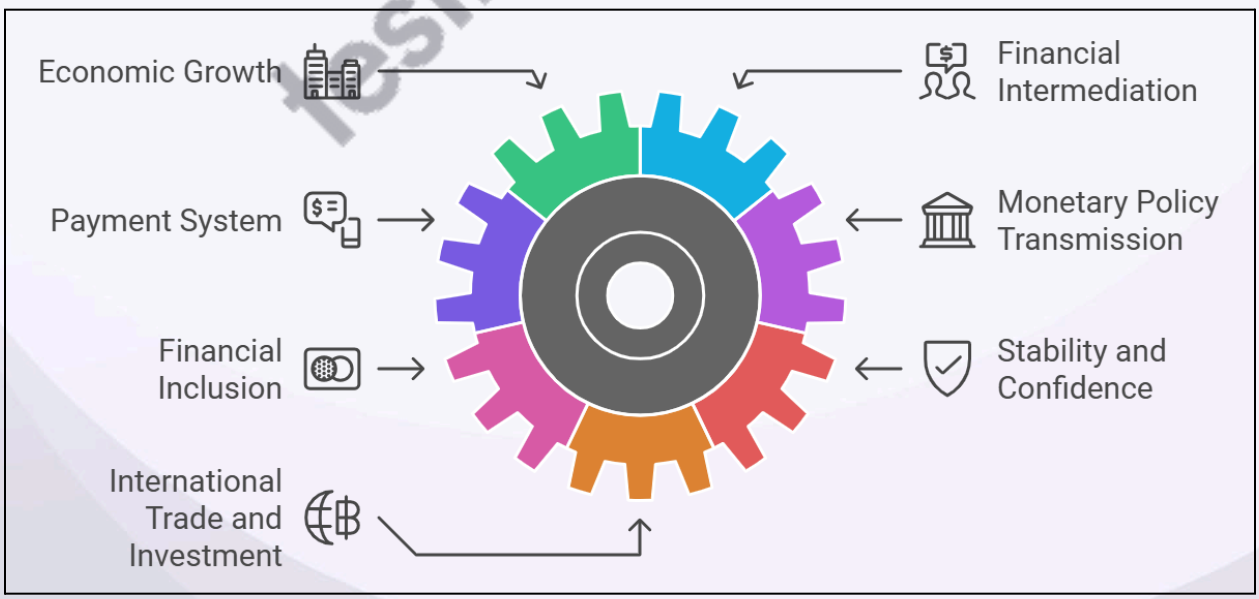
Banking Sector in India

Introduction to the Banking Sector

The banking sector plays a crucial role in the global economy, serving as the backbone of financial stability and growth. It encompasses a wide range of institutions that provide financial services, including accepting deposits, granting loans, and facilitating transactions. This document aims to provide an overview of the banking sector, highlighting its functions, types of banks, regulatory frameworks, and the challenges it faces in an ever-evolving financial landscape. Understanding the banking sector is essential for grasping how it influences economic development, consumer behaviour, and the overall financial system



Importance of banking in the economy



Historical Background

Pre-Independence Banking (Before 1947)

- The roots of Indian banking trace back to the 18th century.
- The **first banks in India were started by European merchants** in major trading hubs like Calcutta, Bombay, and Madras.
    - **Bank of Hindustan (1770):** The first bank in India, founded by Alexander & Co. in Calcutta, but it ceased in 1832.
    - **General Bank of India (1786):** Founded in Calcutta but failed in 1831.
    - **The Presidency Banks (1806-1840s):** The three Presidency Banks (Bank of Bengal, Bank of Bombay, and Bank of Madras) were the key banking institutions in British India.
- **The Establishment of RBI (1935):** The Reserve Bank of India (RBI) was established as the central bank to control the monetary system of India and regulate currency. It was initially a private entity but was nationalized in 1949.

Post-Independence Banking (1947–1969)

- **Post-Independence Needs:** After independence in 1947, the banking sector was largely controlled by a few private players. India's focus was on economic development, and the banking sector was seen as crucial for the country's growth.
- **The Indian Banking Act (1949):** The Reserve Bank of India was nationalized, and the Banking Regulation Act of 1949 was enacted, empowering RBI to supervise and regulate commercial banks in India.
- **Social Control of Banks (1960s)**: In 1960, the government took over the management of certain banks and introduced measures to promote financial inclusion and serve rural areas.

Nationalization of Banks (1969)

- **First Wave of Nationalization (1969):** The government nationalized 14 major private banks (like the Imperial Bank of India, Punjab National Bank, etc.) to align the banking system with the goal of economic growth and social justice. The aim was to make banking accessible to the rural and backward areas of the country.
- **Second Wave of Nationalization (1980):** Another 6 banks were nationalized to further

promote financial inclusion. The nationalization of banks was seen as an effort to use the banking system for economic development, and to control the credit flow to priority sectors like agriculture and small industries.

- **The emergence of Public Sector Banks:** After nationalization, public sector banks (PSBs) grew and were tasked with supporting government policies, credit distribution, and funding for infrastructure projects.

Post-1991 Reforms and Liberalization

- **Economic Reforms (1991):** After the economic crisis of 1991, India undertook major economic reforms, including liberalizing the banking sector.
    - Entry of Private Sector Banks (1990s): Private and foreign banks were allowed to operate in India, leading to the emergence of institutions like HDFC Bank, ICICI Bank, and others.
- **Financial Sector Reforms:**
    - Asset Reconstruction Companies (2002): With the introduction of asset restructuring, banks could now deal with non-performing assets (NPAs).
    - Technology and Digital Banking (1990s-Present): The introduction of banking technologies like ATMs, internet banking, and mobile banking transformed how people accessed financial services.
- **Banking Regulation and Strengthening of RBI:**
    - **Prudential Norms for Banks (1997):** RBI introduced capital adequacy norms, mandatory disclosures, and measures to ensure the health of the banking sector.
    - **Raghuram Rajan Committee (2008-09)**: Reforms to improve the resilience of banks were introduced after the global financial crisis, including the introduction of Basel norms.

Recent Developments and Challenges (2000s-Present)

Financial Inclusion:

- Government schemes like Pradhan Mantri Jan Dhan Yojana (PMJDY) in 2014 aimed at providing banking services to unbanked populations. This was complemented by a push for digital banking and the introduction of Aadhaar-linked accounts.

Banking Consolidation (2017-Present): The Indian government started merging several

public-sector banks to improve efficiency and reduce the burden of NPAs. Major mergers include the merger of Dena Bank, Vijaya Bank, and Bank of Baroda in 2019, and the consolidation of 10 public sector banks into 4 big banks in 2020.

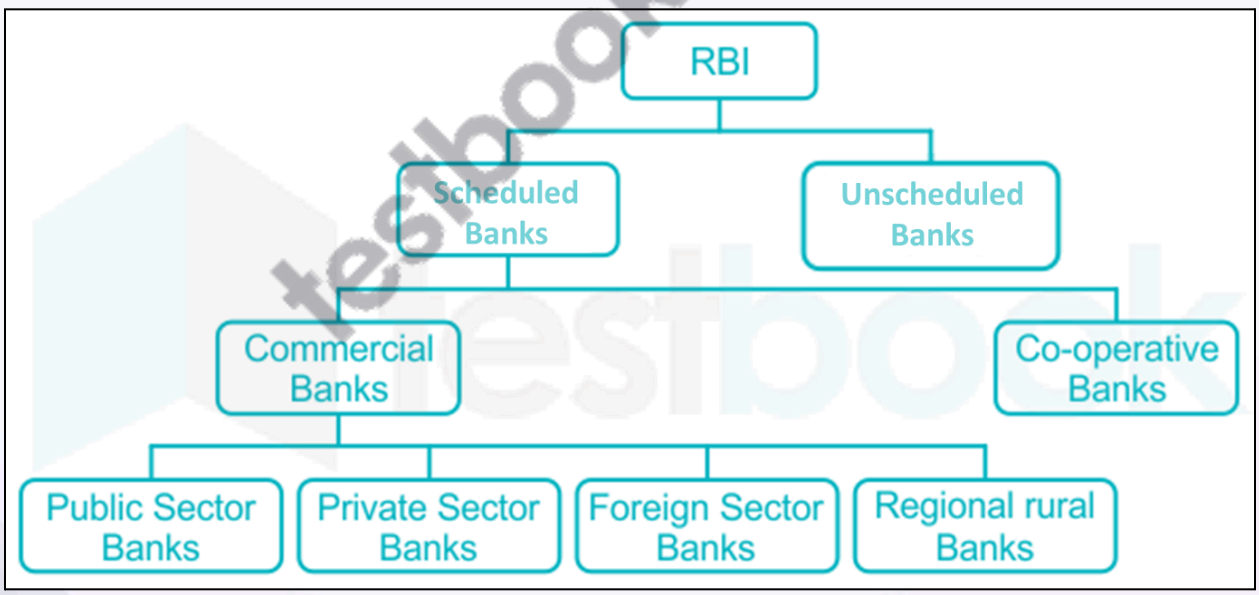
Digital and Payment Systems:

- UPI (Unified Payments Interface), Neobanks, and Fintech Growth: India witnessed a fintech revolution, with innovations in mobile banking, digital wallets, and UPI, which has revolutionized how people transfer money and make payments.

Banking for the Future: The focus now is on strengthening financial inclusion, adopting AI and blockchain technologies, improving governance and transparency, and managing risks from non-performing assets.

Classification of Banks in India

- The Reserve Bank of India (RBI) classifies banks primarily into two categories:
  - Scheduled Banks
  - Non-Scheduled Bank



Scheduled Banks and Non-Scheduled Banks

Aspect	Scheduled Banks	Non-Scheduled Banks
Definition	Included in the Second Schedule of the RBI Act, 1934.	Not included in the Second Schedule of the RBI Act, 1934.
Eligibility Criteria	Must meet specific criteria, including maintaining a certain level of paid-up capital and reserves.	Do not meet the eligibility criteria set by the RBI for scheduled status.
Borrowing from RBI	Eligible to borrow from the RBI for routine purposes like liquidity support.	Not eligible to borrow from the RBI for routine purposes but may receive emergency support.
Types	1. Scheduled Commercial Banks: Public Sector, Private Sector, Foreign Banks, Regional Rural Banks (RRBs). 2. Scheduled Cooperative Banks: Operate at state or district levels.	Smaller banks, such as some local area banks.
Benefits	Access to RBI facilities, financial assistance, and better liquidity management.	Limited access to RBI facilities; may face challenges in managing liquidity.
Examples	State Bank of India, HDFC Bank, Canara Bank, Punjab National Bank.	Smaller local area banks that do not meet the RBI's criteria.

Other Types of Banks

Type of Bank	Description	Functions	Key Features	Examples
Public Sector Banks	Owned by the government (Central or State), play a significant role in financial	- Offer a wide range of services (loans, savings, investment products) - Focus on	- Majority government ownership - Serve both urban and rural	State Bank of India (SBI), Punjab National Bank (PNB), Bank of Baroda

	inclusion and national economic development.	socio-economic development, especially in rural areas.	sectors - Provide priority sector lending	
Private Sector Banks	Owned by private individuals or corporate entities. They focus on efficiency, customer service, and profitability.	- Provide retail, corporate, and investment banking services. - Cater to high-net-worth individuals (HNIs) and corporates.	- Focus on innovation and customer service - More technologically advanced than public sector banks	HDFC Bank, ICICI Bank, Axis Bank, Kotak Mahindra Bank
Regional Rural Banks (RRBs)	Established to provide financial services in rural areas, focusing on agriculture, small industries, and rural development.	- Provide loans for agricultural and rural development. - Offer savings and deposit products to rural people.	- Operate in rural areas - State-owned, but can partner with private institutions	Kerala Gramin Bank, Andhra Pradesh Grameena Vikas Bank, Uttar Bihar Gramin Bank
Cooperative Banks	Operate on a cooperative model, often focusing on agricultural finance and serving local communities.	- Offer micro-loans to farmers, small-scale industries, and urban poor. - Provide credit to weaker sections of society.	- Governed by cooperative societies - Offer specialized services for agriculture and rural development	The Pune District Central Cooperative Bank, The Mumbai District Central Co-operative Bank
Small Finance Banks	Established to provide financial inclusion to underserved sectors such as	- Provide basic banking services such as savings, deposits, and loans. - Focus on financial	- Offer microfinance and affordable banking services - Can offer loans,	AU Small Finance Bank, Ujjivan Small Finance Bank, Equitas Small Finance Bank

	small farmers, micro industries, and low-income groups.	inclusion and poverty alleviation.	deposits, and insurance	
Payments Banks	Focus primarily on digital payments and providing basic financial services through electronic platforms.	- Provide payment services such as fund transfers, bill payments, etc. - Can issue debit cards and offer savings accounts.	- Cannot offer loans or credit cards - Limited scope compared to other types of banks	Paytm Payments Bank, Airtel Payments Bank, Jio Payments Bank

Key Regulatory Bodies

Regulatory Body	Functions	Key Acts/Regulations
Reserve Bank of India (RBI)	- Monetary Policy: Controls inflation, stabilizes the currency and fosters economic growth. - Currency Issuance: Sole authority over currency management. - Regulation and Supervision of Banks: Ensures banking stability. - Foreign Exchange Management: Stabilizes the rupee and manages reserves. - Government's Banker: Manages government accounts and public debt. - Developmental Role: Promotes financial inclusion and digital banking. - Regulation of Payment Systems: Ensures secure fund transfers. - Consumer Protection: Handles customer grievances and ensures transparency.	- Reserve Bank of India Act, 1934

Securities and Exchange Board of India (SEBI)	- Regulation of Stock Markets: Ensures fair, transparent, and efficient market operations. - Investor Protection: Safeguards against fraud and manipulation. - Market Development: Regulates mutual funds, brokers, and intermediaries. - Regulation of Securities: Oversees IPOs, bonds, and trading. - Corporate Governance: Promotes transparency and accountability in listed companies.	- Securities and Exchange Board of India Act, 1992 - Securities Contracts (Regulation) Act, 1956 - SEBI (Mutual Funds) Regulations, 1996 - SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2009
National Bank for Agriculture and Rural Development (NABARD)	- Financial Assistance: Provides support for agriculture and rural infrastructure. - Rural Development Programs: Promotes rural economic development. - Regulation of Co-operative Banks: Ensures adequate credit for rural India. - Refinancing: Refinances loans for rural sectors. - Training and Capacity Building: Provides skill enhancement for rural development professionals.	- NABARD Act, 1981
Insurance Regulatory and Development Authority of India (IRDAI)	- Regulation of Insurance Companies: Ensures compliance with laws and norms. - Licensing and Supervision: Issues licenses to insurance firms and intermediaries. - Consumer Protection: Guarantees transparency in policies and claims. - Promoting Insurance Awareness: Increases public awareness on insurance. - Ensuring Financial Soundness: Monitors solvency and capital adequacy of insurance companies.	- Insurance Regulatory and Development Authority Act, 1999 - Insurance Act, 1938 - IRDAI (Health Insurance) Regulations, 2016

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